



Course report 2025

National 5 Business Management

This report provides information on candidates' performance. Teachers, lecturers and assessors may find it useful when preparing candidates for future assessment. The report is intended to be constructive and informative, and to promote better understanding. You should read the report with the published assessment documents and marking instructions.

We compiled the statistics in this report before we completed the 2025 appeals process.

Grade boundary and statistical information

Statistical information: update on courses

Number of resulted entries in 2024: 9,908

Number of resulted entries in 2025: 10,444

Statistical information: performance of candidates

Distribution of course awards including minimum mark to achieve each grade

Course award	Number of candidates	Percentage	Cumulative percentage	Minimum mark required
A	4,213	40.3	40.3	84
B	2,356	22.6	62.9	71
C	1,799	17.2	80.1	59
D	1,251	12.0	92.1	46
No award	825	7.9	100%	Not applicable

We have not applied rounding to these statistics.

You can read the general commentary on grade boundaries in the appendix.

In this report:

- 'most' means greater than or equal to 70%
- 'many' means 50% to 69%
- 'some' means 25% to 49%
- 'a few' means less than 25%

You can find statistical reports on the [statistics and information](#) page of our website.

Section 1: comments on the assessment

Question paper

The question paper covered a good breadth of course content and was accessible to candidates. It mainly performed as expected, however, the C grade boundary was adjusted to take account of the slightly higher level of demand in a few questions.

Assignment

The assignment performed as expected. Marketing mix and customer service was the most popular topic choice for candidates.

Section 2: comments on candidate performance

Areas that candidates performed well in

Question paper

Section 1

- | | |
|------------------|---|
| Question 1(a) | Most candidates successfully identified the sector of economy for Canine Campus. |
| Question 1(c)(i) | Most candidates performed well in this question, and identified the trend. |
| Question 1(e)(i) | Most candidates correctly identified stakeholders of the Canine Campus. However, a few candidates did not relate the stakeholders to Canine Campus so did not gain marks. |
| Question 2(b) | Most candidates showed sound knowledge of objectives. |
| Question 2(e)(i) | This question was very accessible to most candidates. |

Section 2

- | | |
|------------------|--|
| Question 3(a)(i) | Most candidates identified 'sole trader' or 'partnership'. |
| Question 4(b)(i) | Most candidates showed sound knowledge of pricing strategies. |
| Question 5(b) | Candidates performed well in this question, with most being able to describe the benefits of being environmentally friendly. |
| Question 5(c) | Most candidates outlined factors affecting suppliers. |

Question 6(a)(i) Many candidates successfully completed the calculations from the table.

Question 6(a)(ii) Many candidates identified the break-even point.

Assignment

Reports were well presented and many candidates achieved full marks for collating and reporting. Statistical analysis shows an improvement in the 'conclusions and recommendations' section. Many reports focused on marketing mix and customer service.

Areas that candidates found demanding

Question paper

Section 1

Question 1(b) Many candidates found it challenging to discuss methods of advertising.

Question 1(d) Many candidates did not sufficiently explain costs and benefits of training. Expense and time should be qualified.

Question 2(a)(ii) Many candidates showed poor knowledge on the justification of target marketing. Some candidates only described target marketing.

Question 2(d)(i) Most candidates did not give a distinction between trade credit and bank overdraft. Most candidates showed poor knowledge of trade credit.

Question 2(f) Many candidates did not sufficiently explain the benefits of customer reviews. Some candidates did not refer to Exhibit 2.

Section 2

- Question 3(b)(i) Many candidates showed poor knowledge of economic factors.
- Question 3(b)(ii) Many candidates found explaining the impact of economic factors demanding.
- Question 4(a) Many candidates incorrectly identified the stage of the product life cycle from the diagram, meaning their descriptions could not be credited.
- Question 4(c) Most candidates identified sales promotions, however, many did not go on to apply the command word 'describe'. For example, they may have answered 'free delivery' rather than 'free delivery where goods are sent at no additional cost'. A few candidates confused sales promotions and advertising.
- Question 5(a) Many candidates had knowledge of job production but did not explain the costs and benefits. A few candidates confused job production with flow production.
- Question 6(c) Some candidates did not name a type of technology; for example, 'use technology to create a cash budget' rather than 'use spreadsheets to create a cash budget'. Some candidates did not give a financial use to their named technology.
- Question 7(a) Some candidates did not outline the process of recruitment; for example, 'job description' rather than 'prepare a job description'.
- Question 7(b)(i) Many candidates found it difficult to discuss the use of piece rate.
- Question 7(b)(ii) Many candidates showed a lack of knowledge of payment systems.
- Question 7(c) Many candidates did not sufficiently describe the role of trade unions, showing poor knowledge.

Assignment

Background information

In many cases, background information was far too lengthy, which used up unnecessary words from the candidate's overall word count. A few candidates did not state their assignment topic. A few candidates' assignment topics were too complex; for example, having two topics in their purpose.

Research methods and sources

Some candidates only listed the value of information and did not explain it. A few candidates listed findings in this section, so did not gain marks for them. A few candidates were not specific about the purpose of the research method or source; for example, 'to collect people's opinions' rather than explaining what the opinions were about.

Findings, analysis and interpretation

Many candidates gave appropriate findings and were able to analyse the impact on their chosen business. A few candidates gave findings that were not specific to their topic. Some candidates used language that was not specific enough to gain an analysis mark; for example, if candidates state 'this negatively affects the business', they need to give what the negative effect is. A few candidates referred to 'money' instead of 'sales', 'profits' or 'expenses', so did not gain a development mark.

Conclusions and recommendations

Some candidates gave new information in this section that they had not previously mentioned in findings, analysis and interpretation. This could not be credited as it was irrelevant to their purpose. Some candidates gave recommendations that were vague; for example, 'I recommend they should begin advertising'. The following is an acceptable example: 'I recommend they should begin advertising on social media because xxxx'.

Collating and reporting

A few candidates did not use the correct headings. A few candidates did not give two display items. A few candidates' reports exceeded the maximum word count of 1,300 words.

Section 3: preparing candidates for future assessment

Question paper

Candidates should read questions carefully, taking into consideration the command words in each question. For example, practice is needed with the command word 'explain', as many candidates only 'described' in this year's question paper. Centres can support candidates by providing access to [Understanding Standards](#) materials, past papers and marking instructions from previous years.

Centres should remind candidates that technology questions will require them to name a technology before describing the use for the functional area. Candidates should also qualify words such as 'expensive' or 'time-consuming' if they use them in a response, to ensure their answer is specific.

Candidates should space their answers out in the answer booklet, leaving space between each question. Candidates whose handwriting is difficult to read should consider submitting word-processed scripts. These should be printed in 1.5 or double line spacing for ease of marking.

Assignment

Centres must use the SQA template available on the [subject page](#) of our website, and ensure that candidates use 1.5 line spacing throughout. It is useful if these are printed double-sided.

Candidates should not exceed the 1,300-word limit and they must declare the word count accurately on the flyleaf. Appendices do not contribute towards the word count.

Candidates should avoid writing lengthy background information as this is not required. In their findings, analysis and interpretation, candidates should avoid using

generic terms such as 'money', 'people' and 'affect'. Responses should be more specific: 'sales' or 'profits', 'customers' or 'shareholders', and 'increase' or 'decrease'.

Appendix: general commentary on grade boundaries

Our main aim when setting grade boundaries is to be fair to candidates across all subjects and levels and to maintain comparable standards across the years, even as arrangements evolve and change.

For most National Courses, we aim to set examinations and other external assessments and create marking instructions that allow:

- a competent candidate to score a minimum of 50% of the available marks (the notional grade C boundary)
- a well-prepared, very competent candidate to score at least 70% of the available marks (the notional grade A boundary)

It is very challenging to get the standard on target every year, in every subject, at every level. Therefore, we hold a grade boundary meeting for each course to bring together all the information available (statistical and qualitative) and to make final decisions on grade boundaries based on this information. Members of our Executive Management Team normally chair these meetings.

Principal assessors utilise their subject expertise to evaluate the performance of the assessment and propose suitable grade boundaries based on the full range of evidence. We can adjust the grade boundaries as a result of the discussion at these meetings. This allows the pass rate to be unaffected in circumstances where there is evidence that the question paper or other assessment has been more, or less, difficult than usual.

- The grade boundaries can be adjusted downwards if there is evidence that the question paper or other assessment has been more difficult than usual.
- The grade boundaries can be adjusted upwards if there is evidence that the question paper or other assessment has been less difficult than usual.
- Where levels of difficulty are comparable to previous years, similar grade boundaries are maintained.

Every year, we evaluate the performance of our assessments in a fair way, while ensuring standards are maintained so that our qualifications remain credible. To do this, we measure evidence of candidates' knowledge and skills against the national standard.

For full details of the approach, please refer to the [Awarding and Grading for National Courses Policy](#).